

# Draft Contract Risk Review: CONSULTING SERVICES AGREEMENT: ACME Corporation/ClientCo Ltd.

Client: ClientCo Ltd. | Type: CONSULTING | Ticket: LEG-19E404F1

## Risk Summary Table

| Risk Level | Clause Count |
|------------|--------------|
| CRITICAL   | 5            |
| HIGH       | 15           |
| MEDIUM     | 6            |
| LOW        | 1            |

## Clause-by-Clause Findings

### Clause 1: OTHER

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause gives the consultant sole discretion over the manner and means of performing the services, which deviates from the standard version that typically outlines specific duties and responsibilities

Recommendation: The client should negotiate to include more specific guidelines and acceptance criteria in the statement of work to ensure the services meet their expectations

Draft Finding Text: The clause states that the consultant has sole discretion over the manner and means of performing the services, as long as the deliverables meet the acceptance criteria set forth in the applicable statement of work. This poses a medium risk to ClientCo Ltd as it deviates from the standard version that typically outlines specific duties and responsibilities, potentially leading to unclear expectations and inconsistent service quality. The client should negotiate to include more specific guidelines and acceptance criteria in the statement of work to ensure the services meet their expectations. By doing so, ClientCo Ltd can mitigate the risk and ensure that the consulting services are delivered in a manner that aligns with their needs and objectives.

Original Text: 1. SCOPE OF WORK — Consultant agrees to perform consulting services (the "Services") as described in one or more statements of work executed by the Parties (each, a "Statement of Work" or "SOW"). Consultant shall have sole discretion over the manner and means of performing the Services, provided that the deliverables meet the acceptance criteria set forth in the applicable SOW.

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### Clause 2: LIABILITY CAP

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause explicitly states that the consultant makes no warranty that the services will achieve any specific outcome or result, which deviates from the standard template that implies certain warranties and protections for the buyer.

Recommendation: The client should negotiate to include specific performance standards or outcome-based metrics to ensure the consultant is held accountable for the quality of their services.

Draft Finding Text: The clause states that the consultant will perform the services in a professional manner but makes no warranty that the services will achieve any specific outcome or result, acknowledging the uncertainty of consulting engagements. This poses a high risk to ClientCo Ltd as it deviates from standard templates that typically imply certain warranties and protections for the buyer, potentially leaving the client without recourse if the services do not meet their expectations. To mitigate this risk, ClientCo Ltd should negotiate to include specific performance standards or outcome-based metrics in the contract. By doing so, the client can ensure that the consultant is held accountable for the quality of their services and that the desired outcomes are clearly defined and measurable.

Original Text: 1.2 Performance Standard — Consultant shall perform the Services in a professional manner; however, Consultant makes no warranty that the Services will achieve any specific outcome or result. Client acknowledges that the outcome of consulting engagements is inherently uncertain.

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### **Clause 3: OTHER**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the consultant to decline additional services and charge new rates, which deviates from the standard template by giving the consultant significant control over scope and pricing.

Recommendation: The client should negotiate to include a provision that requires the consultant to provide a detailed explanation for declining additional services and to establish a clear process for determining new rates.

Draft Finding Text: The clause states that the consultant may decline to perform any services outside the scope of the applicable statement of work and may charge new rates for additional services, which may differ from the rates in any existing statement of work. This poses a high risk to ClientCo Ltd as it gives the consultant significant control over scope and pricing, potentially leading to unforeseen costs and scope creep. The client should negotiate this clause to include provisions that require the consultant to provide a detailed explanation for declining additional services and to establish a clear process for determining new rates. By doing so, ClientCo Ltd can mitigate the risks associated with this clause and ensure a more transparent and predictable engagement with the consultant.

Original Text: 1.3 Changes to Scope — Consultant may decline to perform any Services outside the scope of the applicable SOW. Any request for additional services shall require a new or amended SOW at Consultant's then-current rates, which may differ from the rates in any existing SOW.

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### **Clause 4: OTHER**

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause introduces a condition where the client's delay in providing information can excuse the consultant from the delivery timeline and potentially result in additional fees, which is not present in the standard template

Recommendation: The client should negotiate to clarify the scope of 'reasonably requested' information and establish clear timelines for delivery to mitigate potential delays and additional fees

Draft Finding Text: The clause states that the client is obligated to provide the consultant with all reasonably requested information, access, and materials, and that any delay by the client in providing such cooperation may excuse the consultant from the applicable delivery timeline and result in additional fees. This clause poses a medium risk to the client as it may lead to unforeseen delays and costs if the client is unable to provide the requested information in a timely manner. The client should negotiate this clause to clarify the scope of 'reasonably requested' information and establish clear timelines for delivery to mitigate potential delays and additional fees. By doing so, the client can better manage its obligations and minimize the risk of incurring additional costs.

Original Text: 1.4 Client Obligations — Client shall promptly provide Consultant with all information, access, and materials reasonably requested by Consultant. Any delay by Client in providing such cooperation shall excuse Consultant from the applicable delivery timeline and may result in additional fees.

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## Clause 5: PAYMENT TERMS

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause requires payment in advance, whereas the standard template specifies payment within thirty days of the invoice date.

Recommendation: The client should negotiate to align the payment terms with the standard template, specifically to change the payment schedule to 'Net 30' to reduce financial liability.

Draft Finding Text: The contract clause stipulates that ClientCo Ltd shall pay the consultant's fees in advance on a monthly basis, with all fees being non-refundable once earned. This poses a high risk to ClientCo Ltd as it requires upfront payment, which may lead to significant financial liability in case the services are not rendered as expected. To mitigate this risk, it is recommended that ClientCo Ltd negotiates the payment terms to align with the standard template, which typically allows for payment within thirty days of the invoice date. By doing so, ClientCo Ltd can reduce its financial liability and ensure a more manageable cash flow.

Original Text: 2. PAYMENT TERMS — Client shall pay Consultant the fees set forth in each applicable SOW. All fees are non-refundable once earned. Unless otherwise specified, Consultant shall invoice Client monthly in advance for the upcoming month's Services.

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## Clause 6: PAYMENT TERMS

Risk Level: HIGH | Action Required: Negotiate

Deviation: The payment term is Net 60 instead of the standard Net 30, and the interest rate is 3% per month, which is higher than the standard 1.5% per month

Recommendation: The client should negotiate to align the payment terms with the standard template, specifically to change the payment term to Net 30 and reduce the interest rate to 1.5% per month

Draft Finding Text: The payment terms clause stipulates that ClientCo Ltd shall pay each invoice within sixty days of the invoice date with a 3% per month interest rate on late payments. This poses a high risk to the client as the extended payment term and elevated interest rate may lead to significant financial burdens and cash flow issues. The client should negotiate to revise the payment terms to align with standard practices, specifically advocating for a Net 30 payment term and a reduced interest rate of 1.5% per month. By doing so, ClientCo Ltd can mitigate potential financial risks and establish more favorable payment conditions.

Original Text: 2.2 Payment — Client shall pay each invoice within sixty (60) days of the invoice date ("Net 60"). All payments shall be made in United States Dollars. Amounts not paid when due shall accrue interest at the rate of three percent (3%) per month, compounding monthly, or the maximum rate permitted by applicable law, whichever is higher. Client shall reimburse Consultant for all costs of collection, including attorneys' fees and court costs.

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## Clause 7: TERMINATION

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the consultant to suspend performance upon 10 days' notice for non-payment, which is more stringent than the standard termination for convenience clause requiring 60 days' notice

Recommendation: The client should negotiate for a longer notice period or more flexible payment terms to mitigate the risk of sudden suspension of services

Draft Finding Text: The clause allows the consultant to suspend performance of all services upon ten days' notice if the client fails to pay any amount when due, without any liability to the client. This provision poses a high risk to ClientCo Ltd as it enables the consultant to suspend services with relatively short notice, potentially disrupting the client's business operations. The client should negotiate for a longer notice period or more flexible payment terms to mitigate the risk of sudden suspension of services. By doing so, ClientCo Ltd can better protect its interests and ensure continuity of the consulting services.

Original Text: 2.3 Suspension for Non-Payment — Consultant may suspend performance of all Services upon ten (10) days' notice if Client fails to pay any amount when due, without any liability to Client and without affecting the accrual of Fees.

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#### **Clause 8: PAYMENT TERMS**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause does not require pre-approval for expenses below \$5,000, which deviates from the standard version that requires pre-approval for all expenses

Recommendation: The client should negotiate to include a pre-approval requirement for all expenses to avoid uncapped financial liability

Draft Finding Text: The clause states that ClientCo Ltd shall reimburse the consultant for all out-of-pocket expenses incurred in connection with the services without requiring pre-approval for any individual expense below USD \$5,000. This poses a high risk to ClientCo Ltd as it may lead to uncapped financial liability, as expenses can quickly accumulate without prior approval. The lack of pre-approval for expenses below \$5,000 deviates from standard practices and increases the client's exposure to unforeseen costs. To mitigate this risk, ClientCo Ltd should negotiate to include a pre-approval requirement for all expenses to ensure better control over financial liabilities.

Original Text: 2.4 Expenses — Client shall reimburse Consultant for all out-of-pocket expenses incurred in connection with the Services without the requirement of pre-approval for any individual expense below USD \$5,000.

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#### **Clause 9: PAYMENT TERMS**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the consultant to adjust rates annually with only 30 days' notice, which is less notice than the standard 60 days provided in the reference standard

Recommendation: The client should negotiate for a longer notice period, such as 60 days, to allow for better planning and potential rejection of rate increases

Draft Finding Text: The clause allows the consultant to adjust its rates annually with only 30 days' notice, and any in-progress work will be invoiced at the adjusted rate after the effective date of the adjustment. This poses a high risk to ClientCo Ltd as it provides insufficient time for the company to plan and budget for potential rate increases, and may not allow for adequate consideration of alternatives or negotiation of the new rates. The short notice period may lead to unforeseen costs and impact the company's financial planning, making it essential for the client to take action. ClientCo Ltd should negotiate for a longer notice period, such as 60 days, to allow for better planning and potential rejection of rate increases.

Original Text: 2.5 Rate Adjustments — Consultant may adjust its rates annually upon thirty (30) days' notice. Any in-progress SOW that extends beyond the rate adjustment date shall be invoiced at the adjusted rate for all work performed after the effective date of such adjustment.

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#### **Clause 10: IP OWNERSHIP**

Risk Level: CRITICAL | Action Required: Reject

Deviation: The clause gives the consultant ownership of all intellectual property rights in and to the work product, which is contrary to the standard template where the client owns such rights.

Recommendation: The client should reject this clause and negotiate for ownership of the work product, as it is standard practice in consulting contracts for the client to own the intellectual property rights to the deliverables.

Draft Finding Text: This clause states that the consultant shall own all intellectual property rights in and to the work product, including deliverables, methodologies, and improvements, developed in the course of performing the services. This is a critical risk for ClientCo Ltd as it contradicts standard practice in consulting contracts, where the client typically owns the intellectual property rights to the deliverables, and could potentially limit the company's ability to use and benefit from the work product. The client should

reject this clause and negotiate for ownership of the work product to ensure that they have full control and rights to the intellectual property developed during the consulting engagement. By doing so, ClientCo Ltd can protect its interests and maintain the value of the work product for its business.

Original Text: 3. INTELLECTUAL PROPERTY OWNERSHIP — Notwithstanding anything to the contrary, Consultant shall own all right, title, and interest, including all intellectual property rights, in and to: (a) all deliverables, work product, inventions, developments, and materials developed in the course of performing the Services ("Work Product"); (b) all methodologies, frameworks, tools, techniques, processes, and know-how used or developed in connection with the Services; and (c) all improvements, enhancements, or derivative works created from or incorporating any of the foregoing.

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#### **Clause 11: IP OWNERSHIP**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause grants a limited, non-exclusive, non-transferable, non-sublicensable license to the client, which is a deviation from the standard version that typically allows for perpetual, royalty-free licenses

Recommendation: The client should negotiate for a perpetual, royalty-free license to use the work product, and ensure that the license is not revocable by the consultant upon breach

Draft Finding Text: The clause grants ClientCo Ltd a limited, non-exclusive, non-transferable, non-sublicensable license to use the work product upon full payment of all fees, which may be revoked by the consultant upon written notice if the client breaches any provision of the agreement. This poses a high risk to the client as it restricts the use of the work product and allows the consultant to revoke the license, potentially disrupting the client's internal business operations. To mitigate this risk, ClientCo Ltd should negotiate for a perpetual, royalty-free license to use the work product, ensuring that the license is not revocable by the consultant upon breach. By doing so, the client can secure more favorable terms that align with standard industry practices and protect its business interests.

Original Text: 3.2 License to Client — Upon full payment of all Fees due under the applicable SOW, Consultant grants to Client a limited, non-exclusive, non-transferable, non-sublicensable license to use the Work Product solely for Client's internal business purposes. This license may be revoked by Consultant upon written notice if Client breaches any provision of this Agreement.

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#### **Clause 12: IP OWNERSHIP**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause restricts the client's ability to modify, adapt, or create derivative works of the Work Product without the Consultant's prior written consent, which is more restrictive than the standard template

Recommendation: The client should negotiate to include provisions that allow for more flexibility in using the Work Product, such as obtaining a license to modify or adapt the Work Product for internal use

Draft Finding Text: The clause restricts ClientCo Ltd's ability to modify, adapt, or create derivative works of the Work Product without the Consultant's prior written consent, and also prohibits disclosure or use of the Work Product for any purpose other than internal operations. This restriction poses a high risk to ClientCo Ltd as it limits the company's flexibility in utilizing the Work Product, potentially hindering its ability to adapt to changing business needs. To mitigate this risk, ClientCo Ltd should negotiate with the Consultant to include provisions that allow for more flexibility in using the Work Product, such as obtaining a license to modify or adapt the Work Product for internal use. By doing so, ClientCo Ltd can ensure that it has the necessary permissions to fully leverage the Work Product and achieve its business objectives.

Original Text: 3.3 Restrictions — Client shall not: (a) modify, adapt, or create derivative works of the Work Product without Consultant's prior written consent; (b) disclose or make available the Work Product to any third party; or (c) use the Work Product for any purpose other than Client's internal operations.

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#### **Clause 13: IP OWNERSHIP**

Risk Level: CRITICAL | Action Required: Reject

Deviation: The clause grants the consultant a perpetual, irrevocable, royalty-free license to use the client's data, materials, and intellectual property, which is significantly broader than the standard version

Recommendation: The client should reject this clause and negotiate for a limited, non-exclusive, non-transferable license to protect their intellectual property rights

Draft Finding Text: The clause grants the consultant a perpetual, irrevocable, royalty-free license to use the client's data, materials, and intellectual property in connection with the services and for the development of the consultant's general knowledge base and service offerings. This provision poses a critical risk to the client as it potentially compromises their intellectual property rights by allowing the consultant to utilize their proprietary information without limitation or compensation. The client should reject this clause to protect their interests and instead negotiate for a limited, non-exclusive, non-transferable license that aligns with standard industry practices. By doing so, the client can ensure that their intellectual property rights are safeguarded and that the consultant's use of their materials is restricted to the specific scope of the project.

Original Text: 3.4 Client Materials — Client grants Consultant a perpetual, irrevocable, royalty-free license to use Client's data, materials, and intellectual property in connection with the Services and for the development of Consultant's general knowledge base and service offerings.

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#### **Clause 14: CONFIDENTIALITY**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the Consultant to use Client's Confidential Information for its own internal business purposes, which deviates from the standard version that restricts use to purposes of the Agreement.

Recommendation: The client should negotiate to restrict the Consultant's use of Confidential Information to only purposes of the Agreement, aligning with the standard template.

Draft Finding Text: The confidentiality clause in the contract states that ClientCo Ltd. must maintain the confidentiality of the Consultant's information, while the Consultant is only restricted from disclosing ClientCo Ltd.'s confidential information to its competitors, and is permitted to use it for internal business purposes. This poses a high risk to ClientCo Ltd. as it allows the Consultant to potentially exploit its confidential information for purposes beyond the scope of the agreement, which could compromise the company's sensitive data and competitive advantage. To mitigate this risk, ClientCo Ltd. should negotiate the clause to restrict the Consultant's use of its confidential information to only purposes of the agreement. By doing so, ClientCo Ltd. can ensure that its sensitive information is adequately protected and used only for the intended purposes of the consulting engagement.

Original Text: 4. CONFIDENTIALITY — Client shall maintain the confidentiality of all Consultant Confidential Information and shall not disclose it to any third party. Consultant's obligations with respect to Client's Confidential Information are limited to not disclosing it to third party competitors of Client, provided that Consultant may use Client's Confidential Information for its own internal business purposes, including for improving its services and training its personnel.

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#### **Clause 15: DATA OWNERSHIP**

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause defines Confidential Information more narrowly than the standard version, potentially limiting the scope of protected information.

Recommendation: The client should negotiate to broaden the definition of Confidential Information to align with the standard version, ensuring adequate protection of sensitive information.

Draft Finding Text: The clause defines Confidential Information as all non-public information designated in writing as confidential, including Work Product, methodologies, pricing, and business strategies of the Consultant. This definition may be risky for ClientCo Ltd as it potentially limits the scope of protected information, which could leave sensitive information exposed. To mitigate this risk, ClientCo Ltd should negotiate to broaden the definition of Confidential Information to align with the standard version, ensuring

adequate protection of sensitive information. By doing so, ClientCo Ltd can ensure that all necessary information is properly safeguarded throughout the consulting engagement.

Original Text: 4.2 "Confidential Information" means all non-public information designated in writing as confidential. Confidential Information of Consultant includes, without limitation, all Work Product, methodologies, pricing, and business strategies.

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#### **Clause 16: INDEPENDENT CONTRACTOR STATUS**

Risk Level: LOW | Action Required: Accept

Deviation: The clause is similar to the standard version, with the main difference being a lack of detailed responsibilities for the consultant as outlined in section 5.2 of the standard template.

Recommendation: The client should accept this clause as it clearly establishes the consultant's independent contractor status and does not significantly deviate from the standard version in a way that increases risk.

Draft Finding Text: The clause in question explicitly states that the consultant is an independent contractor, clarifying that this agreement does not establish an employment, agency, partnership, or joint venture relationship. Although this clause poses a low risk to ClientCo Ltd, its deviation from the standard template, specifically the lack of detailed responsibilities for the consultant, could potentially lead to ambiguities in the scope of work. Given the minimal risk and the clear establishment of the consultant's independent contractor status, ClientCo Ltd should accept this clause as it is. By doing so, the client can ensure a clear understanding of the consultant's role while avoiding potential disputes related to employment or partnership implications.

Original Text: 5. INDEPENDENT CONTRACTOR STATUS — Consultant is an independent contractor. Nothing in this Agreement shall be construed to create an employment, agency, partnership, or joint venture relationship.

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#### **Clause 17: OTHER**

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause allows the consultant to substitute personnel without the client's consent, which deviates from the standard version that emphasizes the client's control over the results to be achieved

Recommendation: The client should negotiate to include a requirement for the consultant to obtain client consent before substituting personnel to ensure continuity and quality of services

Draft Finding Text: This clause grants the consultant sole discretion to determine which personnel to assign to the services and allows for substitution of personnel at any time without the client's consent, provided the substitutes are reasonably qualified. This poses a medium risk to the client as it may compromise the continuity and quality of services, and undermines the client's control over the results to be achieved. The client should negotiate to include a requirement for the consultant to obtain client consent before substituting personnel to mitigate this risk. By doing so, the client can ensure that any changes to the assigned personnel are aligned with their needs and expectations, thereby protecting the quality and consistency of the services delivered.

Original Text: 5.2 Consultant shall determine, in its sole discretion, which personnel to assign to the Services. Consultant may substitute personnel at any time without Client's consent, provided that substitute personnel are reasonably qualified.

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#### **Clause 18: OTHER**

Risk Level: CRITICAL | Action Required: Reject

Deviation: The clause provides services on an 'as is' basis with no warranties, which is a significant deviation from standard consulting contracts that typically include some level of warranty or guarantee.

Recommendation: The client should negotiate to include a reasonable warranty or guarantee for the services provided to mitigate the risk of receiving subpar or ineffective consulting services.

Draft Finding Text: The clause in question states that the consultant provides services on an "as is" basis, making no warranties, express or implied, regarding the services or work product, and placing all risk on the client for its use of the work product. This provision is highly risky for ClientCo Ltd as it leaves the company without any recourse or protection in the event that the consulting services are subpar or ineffective. The client should reject this clause and negotiate to include a reasonable warranty or guarantee for the services provided to mitigate this risk. By doing so, ClientCo Ltd can ensure that it receives a certain level of quality and effectiveness from the consulting services, and has some recourse in the event that the services do not meet its needs.

Original Text: 6. WARRANTY OF SERVICES — CONSULTANT PROVIDES THE SERVICES STRICTLY ON AN "AS IS" BASIS. CONSULTANT MAKES NO WARRANTIES, EXPRESS OR IMPLIED, REGARDING THE SERVICES OR ANY WORK PRODUCT, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTY OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR THAT THE SERVICES WILL ACHIEVE ANY SPECIFIC RESULT OR OUTCOME. CLIENT ASSUMES ALL RISK IN CONNECTION WITH ITS USE OF THE WORK PRODUCT.

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#### **Clause 19: LIABILITY CAP**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause excludes consequential damages, which could leave the client with significant uncovered losses in the event of the consultant's negligence or breach of contract.

Recommendation: The client should negotiate to limit the exclusion of consequential damages to specific circumstances or to include a cap on direct damages to mitigate potential financial liability.

Draft Finding Text: The clause in question excludes the consultant's liability for indirect, incidental, special, consequential, exemplary, or punitive damages arising out of or related to the agreement, even if the consultant was advised of the possibility of such damages. This exclusion poses a high risk to ClientCo Ltd, as it could leave the company with significant uncovered losses in the event of the consultant's negligence or breach of contract. To mitigate this risk, ClientCo Ltd should negotiate to limit the exclusion of consequential damages to specific circumstances or to include a cap on direct damages. By doing so, the client can better protect itself against potential financial liability and ensure a more balanced allocation of risk in the agreement.

Original Text: 7. LIMITATION OF LIABILITY — Exclusion of Consequential Damages. IN NO EVENT SHALL CONSULTANT BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, OR PUNITIVE DAMAGES OF ANY KIND ARISING OUT OF OR RELATED TO THIS AGREEMENT, EVEN IF ADVISED OF THE POSSIBILITY THEREOF.

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#### **Clause 20: LIABILITY CAP**

Risk Level: CRITICAL | Action Required: Reject

Deviation: The clause limits the consultant's total aggregate liability to \$500, which is significantly lower than the standard version's cap of the greater of the total fees paid in the six months preceding the claim or \$100,000.

Recommendation: The client should reject this clause and negotiate for a liability cap that is more in line with industry standards to protect against potential losses.

Draft Finding Text: The clause at section 7.2 of the agreement limits the consultant's total aggregate liability to \$500, regardless of the amount of fees paid by ClientCo Ltd or the nature of the claim. This poses a significant risk to ClientCo Ltd as the liability cap is substantially lower than industry standards, potentially leaving the company exposed to unlimited losses in excess of the cap. The client should reject this clause and negotiate for a revised liability cap that is more in line with industry standards, such as the greater of the total fees paid in the six months preceding the claim or \$100,000. By doing so, ClientCo Ltd can better protect itself against potential losses and ensure a more balanced risk allocation in the agreement.



Original Text: 7.2 Aggregate Liability Cap — CONSULTANT'S TOTAL AGGREGATE LIABILITY ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL NOT EXCEED FIVE HUNDRED UNITED STATES DOLLARS (USD \$500.00), REGARDLESS OF THE AMOUNT OF FEES PAID BY CLIENT OR THE NATURE OF THE CLAIM.

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#### **Clause 21: LIABILITY CAP**

Risk Level: CRITICAL | Action Required: Reject

Deviation: The clause removes the liability cap for the client, exposing them to unlimited liability, which deviates significantly from the standard template that caps liability at the greater of the total fees paid or \$100,000.

Recommendation: The client should reject this clause and negotiate for a liability cap consistent with industry standards to protect against uncapped financial liability.

Draft Finding Text: The clause in question, Section 7.3, removes the liability cap for ClientCo Ltd, exposing the company to unlimited liability, including the obligation to pay all fees and indemnify the consultant. This poses a critical risk to ClientCo Ltd, as it deviates significantly from industry standards, which typically cap liability at the greater of the total fees paid or \$100,000, thereby leaving the company vulnerable to uncapped financial liability. To mitigate this risk, it is recommended that ClientCo Ltd reject this clause and negotiate for a liability cap consistent with industry standards. By doing so, ClientCo Ltd can protect itself against potentially devastating financial losses and ensure a more balanced and equitable contractual agreement.

Original Text: 7.3 Client Liability — The limitations of Section 7.1 and Section 7.2 shall not limit Client's liability to Consultant, including without limitation Client's obligation to pay all Fees and to indemnify Consultant.

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#### **Clause 22: TERMINATION**

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause lacks a specific termination notice period and does not mention automatic renewal, differing from the standard template

Recommendation: The client should negotiate to include a termination notice period and clarify the conditions for termination to better align with the standard template

Draft Finding Text: The clause states that the agreement will commence on the Effective Date and continue until all active SOWs are completed or earlier terminated, without specifying a termination notice period or conditions for termination. This poses a medium risk to ClientCo Ltd as it lacks clarity on the termination process, which could lead to potential disputes or unforeseen obligations. The client should negotiate to include a termination notice period and clarify the conditions for termination to better align with the standard template. By doing so, ClientCo Ltd can mitigate potential risks and ensure a more balanced agreement.

Original Text: 8. TERM AND TERMINATION — This Agreement shall commence on the Effective Date and continue until all active SOWs are completed or earlier terminated.

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#### **Clause 23: TERMINATION**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the consultant to terminate the agreement with only seven days' notice, which is significantly shorter than the standard sixty or fourteen days' notice

Recommendation: The client should negotiate for a longer notice period, such as thirty days, to provide more stability and protection in the agreement

Draft Finding Text: The clause allows the consultant to terminate the agreement or any statement of work for any reason with only seven days' prior written notice to ClientCo Ltd. This poses a high risk to ClientCo Ltd as the short notice period may not provide sufficient time for the company to find an alternative service provider, potentially disrupting business operations. The short notice period deviates from standard

practice, which typically requires sixty or fourteen days' notice, and as such, it is recommended that ClientCo Ltd negotiate for a longer notice period, such as thirty days, to provide more stability and protection in the agreement. ClientCo Ltd should prioritize negotiating this clause to mitigate potential risks and ensure a more stable partnership with the consultant.

Original Text: 8.2 Termination by Consultant for Convenience — Consultant may terminate this Agreement or any SOW for any reason upon seven (7) days' prior written notice to Client.

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#### **Clause 24: TERMINATION**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause requires a sixty-day notice period and imposes a termination fee equal to fifty percent of the remaining fees, which deviates from the standard template's thirty-day notice period and lacks a cure period

Recommendation: The client should negotiate to reduce the termination fee percentage and notice period to align with industry standards and protect their interests

Draft Finding Text: The clause allows ClientCo Ltd to terminate the agreement only upon sixty days' prior written notice and at the natural expiration of a Statement of Work term, with early termination requiring payment of all earned fees, non-cancellable commitments, and a termination fee equal to fifty percent of the remaining fees. This clause poses a high risk to ClientCo Ltd as it imposes a lengthy notice period and a substantial termination fee, which may limit the company's flexibility and increase its financial liability. The requirement for a sixty-day notice period and a fifty percent termination fee deviates from industry standards and may not be in the best interest of ClientCo Ltd. To mitigate this risk, we recommend that ClientCo Ltd negotiate to reduce the termination fee percentage and notice period to align with industry standards and protect their interests.

Original Text: 8.3 Termination by Client — Client may terminate this Agreement only upon sixty (60) days' prior written notice and solely at the natural expiration of an SOW term. Early termination by Client shall require payment of: (a) all Fees earned through the termination date; (b) all non-cancellable commitments; and (c) a termination fee equal to fifty percent (50%) of the remaining Fees that would have been due under the applicable SOW.

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#### **Clause 25: TERMINATION**

Risk Level: MEDIUM | Action Required: Negotiate

Deviation: The clause does not include a provision for the Consultant to deliver completed and in-progress Work Product to the Client upon termination, unlike the standard template

Recommendation: The client should negotiate to include a provision for the return or destruction of Confidential Information and completed Work Product to ensure a smooth transition upon termination

Draft Finding Text: The clause states that upon termination, all unpaid fees shall become immediately due, the client shall return all consultant materials, and all licenses granted to the client shall terminate immediately. This clause poses a medium risk to the client as it does not provide for the consultant to deliver completed and in-progress work product to the client upon termination, which could disrupt the client's business operations. The client should negotiate to include a provision for the return or destruction of confidential information and completed work product to ensure a smooth transition upon termination. By doing so, the client can mitigate the risk of disruption and ensure that it has access to necessary materials and information after the termination of the contract.

Original Text: 8.4 Effect of Termination — Upon termination: (a) all unpaid Fees shall become immediately due; (b) Client shall return all Consultant materials; and (c) all licenses granted to Client shall terminate immediately.

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#### **Clause 26: OTHER**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause deviates from the standard version by specifying binding arbitration under the AAA rules in San Francisco, California, which may limit the client's ability to dispute or seek remedy

Recommendation: The client should negotiate to include a provision that allows for disputes to be resolved through litigation in a court of competent jurisdiction, in addition to or instead of binding arbitration

Draft Finding Text: This clause states that the agreement shall be governed by the laws of California and any disputes shall be submitted to binding arbitration under the AAA rules in San Francisco, California.

This provision is considered high risk for ClientCo Ltd as it may limit the client's ability to dispute or seek remedy, potentially restricting their access to legal recourse. The client should negotiate to include a provision that allows for disputes to be resolved through litigation in a court of competent jurisdiction, in addition to or instead of binding arbitration. By doing so, ClientCo Ltd can ensure that they have more flexibility in resolving potential disputes and can better protect their interests.

Original Text: 9. GOVERNING LAW AND GENERAL PROVISIONS — This Agreement shall be governed by the laws of California, without regard to conflict of laws principles. Any dispute shall be submitted to binding arbitration under the AAA rules in San Francisco, California, and Consultant may seek injunctive or equitable relief in any court of competent jurisdiction.

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#### **Clause 27: OTHER**

Risk Level: HIGH | Action Required: Negotiate

Deviation: The clause allows the consultant to amend the agreement with only 30 days' written notice, whereas the standard template requires amendments to be in writing and signed by both parties.

Recommendation: The client should negotiate to include a requirement for mutual agreement on amendments, as seen in the standard template, to prevent unilateral changes by the consultant.

Draft Finding Text: The clause states that the consultant may amend the agreement upon thirty days' written notice to the client, with continued engagement constituting acceptance. This poses a high risk to the client as it allows the consultant to unilaterally make changes to the agreement without the client's explicit consent, potentially altering the terms and conditions of the engagement. To mitigate this risk, the client should negotiate to include a requirement for mutual agreement on amendments, ensuring that any changes to the agreement are agreed upon by both parties in writing. By doing so, the client can prevent unilateral changes by the consultant and maintain greater control over the terms of the engagement.

Original Text: 9.2 Entire Agreement — This Agreement and all executed SOWs constitute the entire agreement. Consultant may amend this Agreement upon thirty (30) days' written notice to Client; continued engagement shall constitute acceptance.

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